Chapter Thirty-Two

Reserve Bank of India in the Year of the Pandemic

Monetary Stability is the First Responsibility of RBI

‘Whereas it is expedient to constitute a Reserve Bank of India to regulate the issue of Bank notes and for keeping of reserves with a view to securing monetary stability in India …’, begins the Preamble of the Reserve Bank of India Act, 1934 (RBI Act). RBI was established for the purpose of issuing banknotes maintaining the monetary stability of India ‘to operate the currency and credit system of the country to its advantage’, the Preamble added. Monetary stability is measured by depreciation in the value of money. Inflation is the obverse of depreciation in value or the stability of value of money.

RBI did a good job, more by default than deliberate policy action, until 1955. Money supply remained quite restrained despite India adopting a planned economy model with expanding expenditure to be funded by debt. However, RBI gave in to the Centre in 1955 when it decided to accept ad hoc government treasury bills to issue money. Soon the trickle of ad hoc treasury bills became forceful enough to open the tap of money issuance. The investments made in the economy funded by this excessive money supply and debt did not raise the productive capacity of the economy. The result was acute inflation. By the 1970s, India regularly encountered episodes of double-digit inflation, sometimes exceeding 20 per cent. The rupee depreciated and monetary stability was heavily compromised.

Similar inflationary tendencies were seen in many other countries. Monetarists propounded the theory that money supply was the cause of inflation. Most economies and central banks started pursuing tighter money